

SUPREME COURT OF PAKISTAN
(Appellate Jurisdiction)

Present:

Justice Muhammad Ali Mazhar
Justice Musarrat Hilali

C.P.L.A.No.1380 of 2025

Appeal against Judgment dated
29.01.2025 passed by the Federal
Service Tribunal, Islamabad in Appeal
No. 515@CS/2023.

Federation of Pakistan through its Secretary, ...Petitioner
Finance Division Islamabad

Versus

Seema Tauseef and others
...Respondents

For the Petitioner: Mr. Munawar Iqbal Duggal, Additional
Attorney General for Pakistan a/w
Khalid Zia S.O. (Legal)

For the Respondents: Hafiz Noor Muhammad, ASC

Date of Hearing: 16.02.2026

Judgment

Muhammad Ali Mazhar, J:- This civil petition for leave to appeal is directed against the Judgment dated 29.01.2025 passed by the Federal Service Tribunal, Islamabad in Appeal No. 515(R)CS/2023.

2. According to the chronicles of the case, the respondent No.1 was appointed on contract basis against the permanent post of Woman Program Officer (WPO) on 01.07.1997 and earlier to that, she was performing her duties in the project of Development Fund since 1986 without any break. Her services were regularized with effect from 15.12.2011 after rendering at least 24 years of service against the post of WPO on contract basis. However, she retired from service upon attaining the age of superannuation on 25.12.2020.

The service rendered from 1986 to 14.12.2011 was not taken into consideration for allowing pensionary benefits. After approaching the department, the respondent No.1 filed Service Appeal No. 515(R) CS/2023 and sought directions against the department to merge her period of contractual service for the purpose of pay and pension which was allowed by dint of impugned judgment.

3. The learned Additional Attorney General for Pakistan argued that according to Article 240 of the Constitution of Islamic Republic of Pakistan, 1973 (**Constitution**), the appointments to and the conditions of service of persons in the service of Pakistan are determined by the Civil Servants Act, 1973, or under an Act of Majlis-e-Shoora (Parliament). It was further contended that in terms of Section 2(1)(b)(ii) of Civil Servants Act, 1973, contract employees are ousted from the definition of civil servants, therefore, only civil servants are entitled for the pension/gratuity. He also referred to CSR-352, CSR-361, CSR-365 & CSR-368 which represent the Government instructions for regulating the service conditions (Pay, leave, pension, other allowances, etc.) and argued that as per Federal Government Policy the service rendered on Contract/Contingent/Project Service/ Daily Wages basis is not countable for pension on subsequent regularization on the same posts. He also quoted the judgment of this Court in Civil Petitions No. 4618 to 4691/2021 (Commandant, Frontier Constabulary, Peshawar vs Fazli Rabi & Others), in which the emphasis was made on the definition of civil servant as contained in the Civil Servants Act, 1973 and another judgment of this Court dated 25.03.2021 in Civil Appeals No.48 to 77-L/2021 (Dr. Javed Iqbal vs. Province of Punjab), that the respondents shall stand regularized w.e.f. 15.02.2011 i.e. the date of regularization instead of the date of their initial appointment on contract basis made during the years 2004 to 2009. It was further observed in the same judgment that the regularization of a contract employee is, therefore, a fresh appointment into the stream of regular appointment. The benefit of regularization extended to them (the respondents) under the

Regularization Policy is prospective in nature and there is no legal justification to give it a retrospective application.

4. The learned counsel for the respondent No.1 argued that the respondent was regularly performing her duties as WPO since 1986 and after rendering 24 years long service on contract basis, she was regularized on 15.12.2011 against the same post and retired from service upon attaining the age of superannuation on 25.12.2020. He further contended that the benefit of pension was denied due to delay in her regularization of service despite the fact that she served for more than 33 years without any break. In support of his contention, he also relied on the case of Secretary, Ministry of Finance, Islamabad versus Tayyaba Halim Subhani (2022 SCMR 77) & Chairman/Dean Sheikh Zayed Hospital vs. Amjad Mehmood Khan (2025 SCMR 168)

5. Heard the arguments. Let us first discuss the niceties of Civil Service Regulations (CSR) quoted by the learned Add.A.G which contain Government instructions for regulating the service conditions (Pay, leave, pension, other allowances, etc.) of the Government employees in the civil departments.

1.CSR-352

In the following cases no claim to pension is admitted.

(a) When an officer is appointed for a limited time only, or for a specified duty, on the completion of which he is to be discharged.

(b) When a person is employed temporarily on monthly wages without specified limit of time or duty; but a month's notice of discharge should be given to such a person, and his wages must be paid for any period by which such notice falls short of a month.

(c) When a person's whole time is not retained for the public service, but he is merely paid for work done for the Government.

2. CSR-361

Except as otherwise provided in these Regulations, the service of an officer does not qualify for pension unless it conforms to the following three conditions:-

First- The service must be under Government.

Second- The employment must be substantive and permanent.

Third- The service must be paid by government.

These three conditions are fully explained in the following Sections.

3. CSR-365

Service on an establishment paid from a Contract Establishment Allowance, with the detailed distribution of which the Government does not interfere, does not qualify, whether such contract allowance is a fixed amount or consists of fees.

4. CSR-368

Except otherwise provided in these Regulations services does not qualify unless the officer holds a substantive office on a permanent establishment.

6. It is gleaned from the plain reading of aforesaid Civil Regulations that CSR-352 restricts the claim of pension by the appointees of a limited time only; or for a specified duty; or when a person is employed temporarily on monthly wages or when a person's whole time is not retained for the public service but paid for work done. We don't ruminate that CSR-352 applies here to reject the respondent's claim of pension. The long span of contractual engagement can neither be construed as for limited period or temporarily nor can it be based on daily wages arrangement. The glimpse of CSR-361 dictates that service does not qualify pension unless service is under Government; the employment must be substantive and permanent; the service must be paid by government. Yet again, it does not apply in the present controversy as from the long standing contractual engagement it depicts that the post was substantive and permanent. Similarly, CSR-365 has no application in the set of circumstances of the instant case. Taking into account the nitty-gritties of CSR-368, it divulges that except provided in the Regulations, the services does not qualify unless the officer holds a substantive office on a permanent establishment. All over again, we are constrained to observe this

regulation is also inapplicable and irrelevant for just decision of the case.

7. Insofar as the claim of counting service of contractual period is concerned, CSR 371 CSR 371A are somewhat germane, which are reproduced as under:-

I. CSR 371:

An officer without a substantive appointment in an office which is vacant, or the permanent incumbent in which does not draw any part of the pay or count service, may, if he is confirmed without interruption in his service, count his officiating service.

II. CSR 371A:

Notwithstanding anything contained in articles 355 (b), 361, 368, 370 and 371 of these regulations, temporary and officiating service, in the case of Government servant who retired on or after 1st January, 1949 or who joined service thereafter, shall count for pension according to the following rule:-

i. Government servants born on temporary establishments who have rendered more than 5 years continuous temporary service shall count such service for the purpose of pension or gratuity excluding broken periods of temporary service, if any, rendered previously and

ii. Continuous temporary and officiating service of less than five years immediately followed by confirmation shall also count for gratuity or pension, as the case may be.

8. If we look into the finer points of CSR 371A, it starts off with a non-obstante clause which is legal phrase normally used in the different enactments and statutes for overriding any contrary provision or inconsistency to ensure that such provision shall have precedence over other provisions. It makes an announcement that notwithstanding anything contained in articles 355 (b), 361, 368, 370 and 371, the Government servants born on temporary establishments who have rendered more than 5 years continuous temporary service shall count such service for the purpose of pension or gratuity excluding broken periods of temporary service; continuous, temporary, and officiating service of less than 5 years immediately followed by confirmation shall also count for gratuity

or pension, as the case may be. We have no hesitation in our mind to hold that a long period of contractual service rendered by the respondent No.1 makes her entitled for the benefit of CSR-371A for the purposes of awarding pension to her. In the case of Chairman, Pakistan Railway, Government of Pakistan v. Shah Jahan Shah (PLD 2016 SC 534), this Court while dilating upon CSR-371A, held that the government servant who have rendered temporary service for more than five years at the temporary establishment, their service is to be counted for the purposes of pension but it must be continuous and excludes broken periods of service rendered previously.

9. The catchphrase "toil, sweat and blood" also articulated as "blood, sweat, and tears", quintessentially calls to mind extreme effort, suffering, and hard work required to achieve a goal. The respondent No.1 served for 33 years and at the end of the day, she was denied pension on the subterfuge of non-qualifying length of service from the date of regularization while the period on the contract on the same post was unreservedly disregarded without being seen for pension. The action of department was quite weird and wonderful that under the garb of contractual engagement, the department availed first 24 years of service and the pensionary benefits were denied on the pretext that length of service as regular employee does not fulfill the qualifying period without realizing that the best 24 years of life were devoted to the post/department. Nothing placed before us that during a long tenure of service as contractual or even as regular employee, the respondent No.1 was found guilty of any inefficiency, negligence or any other misconduct which unquestionably unveils that her performance was up to the mark and she had given her maximum efforts to live up to the expectation and targets of department by investing significant physical and emotional liveliness, otherwise, her association and professional relationship with the department for such a long period could not have even imaginable.

10. The purpose of pension is to provide old-age security and an economic refuge as vested constitutional right; neither is it a bounty, charity, or act of grace by the employer nor alms or donation. In the case of Muhammad Yousaf Vs. Province of Sindh (2024 SCMR 1689 = 2024 SCP 291 & Qazi Khalid Ali versus Federation of Pakistan & others (CPLA.No.147-K/2023) while speaking for the bench, one of us (Muhammad Ali Mazhar-J) held that the catchword “pension” articulates the payment of a fixed amount according to the scheme of pension in accordance with the law, rules, and regulations or the pension scheme in vogue, which is recompensed on a regular basis to a person on his superannuation. The foremost and predominant strength of mind is to afford and safeguard economic refuge and shelter and to recuperate old-age security. In general phenomena, superannuation or stepping down is considered a second inning in which a retired person aspires to live up to his highly anticipated imaginings or dreams and devote time to his kith and kin and friends. After retirement, the timely payment of pension is considered the main source of income for livelihood. In the present case also, we are of the firm view that even such right cannot be snuffed due to delayed application merely for the reason that a continuing right or cause of action cannot be stifled under the rigors or obstinacies of law of limitation or doctrine of laches. An indefeasible right that cannot be defeated by administrative complexities upstretched none other than the department itself for continuing a long period of contractual engagement for 24 years without any break which gives a clear picture that the post was of a permanent nature from its inception.

11. One more important aspect cannot be lost sight of is that there must be an end to contractual employment which should not be continued for an unlimited period or unvaryingly. The theme of contractual employment is meant to an engagement for some temporary work, time bound projects or due to some contingency/exigency or time bound work/assignment but absolutely not for an unlimited period against a permanent post.

An everlasting or never-ending contract employment cannot be used as a tool of permanent exploitation which is a severe violation of Article 3 of the Constitution whereby the State is bound to ensure the elimination of all forms of exploitation and the gradual fulfilment of the fundamental principle, from each according to his ability, to each according to his work. If the nature of work is of permanent nature then efforts should be made to recruit eligible candidate to such post rather than keeping employees on temporary or contract period indefinitely as a sword of Damocles. However to meet some imminent requirements or in case of exigencies, the contractual engagement may be permissible on case to case basis with time bound engagement but not like this case where the respondent No.1 remained in continuous service of 33 years and was flagged off without any retirement benefits. Seemingly the brainchild of retaining employees on long period of contracts is to avoid pension and other benefits so that at the end of the day, such ill-fated employees take home nothing for him and for the livelihood of his family, except a flower bouquet by their colleagues with a pleasant goodbye.

12. In the wake of the above discussion, we do not find any illegality, irregularity or perversity in the impugned judgment passed by the learned Tribunal. The civil petition is dismissed.

Judge

Judge

ISLAMABAD

16.02.2026

Khalid

Approved for reporting.